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Revision Date:
March 1, 2025

Background:
When it is determined that an overpayment exists, the correct grant amount is computed based on information for the period involved in the overpayment.

Purpose:
The purpose of this section is to provide overpayment calculation requirements. This material revision is due to sunset date review. No policy or procedure changes have been made.

Policy:
Overpayment Calculation Due to Excess Property
When a customer held property in excess of eligibility limits, the overpayment is calculated as follows:

A. Staff will determine the time the customer held the property which exceeded the property limits.
   For purposes of this section, the period that the customer held excess property includes all months in which the total property value of the same items of property exceeded the limit on the first day of the month, even though there may have been intervening months in which the total property value was below limits. Fluctuations in the value of individual items of property will not affect the determination of the time that the customer held excess property, as long as the same items of property are included in the total property valuation. If the customer disposes of an item of property, or acquires a new item, a new period begins and a separate calculation is required.

   The first month that can be determined for this period of excess property is the first month of the:
   - Semi-Annual Reporting (SAR) Payment Period following the SAR 7 - Eligibility Status Report form, or SAWS 2 Plus – Application to CalFresh, Cash Aid, and/or Medi-Cal/Health Care Programs form, in which the excess property was required to be reported.
   - Annual Reporting/Child Only (AR/CO) Payment Period following the SAWS 2 Plus in which the excess property was required to be reported.

B. Staff will determine the month, within the period, in which the property value, on the first day of the month, was the highest, and calculate the amount by which the property exceeded the eligibility limit.

C. Staff will calculate the total amount of aid actually paid to the customer during the months that excess property was held, subtracting any support payments, or other money received by the county, which was credited against the aid payment, for those months.

D. Staff will determine whether the customer received aid in "good faith".
   The determination of "good faith" receipt of aid will be based on a preponderance of evidence establishing that the customer believed themself to be eligible to the aid received. All available information will be taken into consideration, including an interview with the customer if they are available and willing to cooperate. The determination of "good faith" receipt of aid will be reasonable, objective, and drawn from all available information.

   Staff will not determine that a customer has received aid in "good faith" in cases where the customer was informed of their reporting responsibilities and, in the circumstances, the customer knew of their reporting responsibilities and failed to report, within their competence.

E. If the customer received aid in "good faith", the amount of the overpayment is the lesser of the amount of excess in B above, or the total grant paid as calculated in C above.

Overpayment Due to Income or Need or Circumstances other than Excess Property

When an overpayment is due to being over income or need, or circumstances other than property in excess of eligibility limits, calculate the overpayment as follows:

A. Staff will compute the correct grant amount based on correct information for the month involved in the overpayment. If the customer was ineligible for that month, the correct grant amount is zero.

   If a customer fails to report income timely, or staff fails to act correctly or timely on a customer report (except as noted under CalWORKs Program Guide (CPG) 44-350.A Overpayment Will Not Be Assessed), staff will recalculate the cash aid the customer should have received, based on an accurate report and correct action. If the recalculation results in an overpayment, the date that the overpayment begins is the first date that the change would have been made, if timely and correct action had been taken based on the complete, timely, and accurate customer report.

   When recalculating cash aid results in an overpayment, staff will recreate case circumstances using the correct processing time frames based on what the customer should have reported. The case circumstances must be recreated based on all reports that were required to be made. Rather than just looking at mandatory changes that would lower the grant and disregarding any changes that would have increased the grant, taking into consideration any subsequent decreases in income that would have increased the benefit amount (and thus decreasing the overpayment amount).

   The Income Reporting Threshold (IRT) must be recalculated based on the income used in each month of the overpayment calculation, and the multiplier must be used when applicable* to determine a monthly average for weekly and biweekly income. (*If the unreported income would have had the multiplier applied to it, the multiplier also must be applied to the unreported income).

   If the recalculation results in ineligibility for aid, and the income ended/decreased in the following month(s), staff will determine eligibility under applicant test rules, for the months in which the income ended/decreased, to ensure eligibility in the following month(s).

   Note:
   - This policy applies to both client-caused and administrative-caused overpayments, including overpayments calculated during the Income Eligibility Verification System (IEVS) process.
   - As a reminder, supplemental payments are never issued retroactively based on actual income.

   Refer to Questions and Answers 44-350.F1 Overpayments Under the SAR and AR/CO Systems, located in Eligibility Essentials, for different examples on how to calculate overpayments.

   In this computation all income disregards must be allowed which would have been allowed if the grant had been correctly computed. Staff will use the regulations in effect at the time the overpayment occurred to determine the correct amount of the grant, unless the regulations are subsequently invalidated by a court decision. In that case, use the instructions implementing the court decisions.

If the overpayment occurred prior to January 1, 1998, and if the overpayment is due to any earned income that the customer failed, without good cause, to report timely, earned income disregards are not allowed for that individual in that month.

Note:

- Earned income disregards in effect prior to January 1, 1998 were:
  1) $90 Standard Work Expense.
  2) $30 and 1/3 Earned Income Disregard.
  3) Dependent care disregard.
- Earned income disregards between July 1, 2011 and September 30, 2013 were:
  1) $225 Income Disregard.
     To be used as a deduction from Disability-Based Income (DBI).
  2) $112 Earned Income Disregard.
     Any remainder from the $225 DBI Disregard or $112 (whichever is less) will be used as a deduction from the Earned Income.
  3) 50% Earned Income Disregard.
     To be used as a deduction from Earned Income.

  Refer to CPG 44-100.C for additional information.
- Also refer to CPG 44-100.C for Earned Income Disregards from October 1, 2013.

B. Staff will subtract the correct grant amount from the amount of aid actually paid.
C. Staff will subtract any support payments or other money received and retained by the county (minus the appropriate child support disregard amount, as defined in CPG 43-200.D), as credited against the aid payment from the aid actually paid.
D. The total overpayment for each month is the lesser of the amount in B. or C. above.
E. The total overpayment is the sum of all amounts calculated in D. above.

Procedure:
None.

References:

- Eligibility and Assistance Standards (EAS) 44-352.
- All County Letters (ACLs) No. 12-25, 15-95, 16-120, 20-115.

Sunset Date:
This policy will be reviewed for continuance by March 31, 2028.

Approval for Release:

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Self-Sufficiency Services